

Total Loss Valuation Methodology

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Audience: Claims adjusters

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1. When a Vehicle Is a Total Loss

A covered auto is a total loss when the cost of repair, plus the vehicle's salvage value, equals or exceeds its Actual Cash Value (ACV) immediately before the loss, consistent with the definition in Policy Wording Section 1. Meridian Mutual additionally treats a vehicle as a total loss when the cost of repair alone exceeds 75% of ACV, even if the repair-plus-salvage figure is technically lower, to avoid returning a vehicle to the road with extensive structural repairs.

2. Determining Actual Cash Value

ACV is determined using a market-value survey of comparable vehicles (same year, make, model, trim, mileage band, and condition) currently for sale within the insured's regional market, adjusted for the specific vehicle's documented condition, mileage, and any options. Meridian Mutual does not use a fixed depreciation schedule; each valuation is comparable-vehicle-based.

3. Total Loss Settlement

The total loss settlement is the ACV determined under Section 2, less the applicable deductible for the coverage part under which the claim is adjudicated (Collision or Comprehensive, per the Declarations page), plus any documented sales tax and title/transfer fees the insured would incur to replace the vehicle, less the vehicle's salvage value if the insured elects to retain the vehicle.

4. Relationship to the Standard Payout Computation

The standard payout computation described in the Claims Adjudication Guidelines ($\text{payout} = \min(\text{estimated_damage}, \text{applicable_limit}) - \text{applicable_deductible}$) assumes a repairable loss. It does not apply once a vehicle is determined to be a total loss under Section 1 above — total-loss claims are computed under this document's ACV-based methodology instead, and should not be run through the

standard repair-estimate payout formula. An adjuster or automated system that detects estimated damage exceeding 75% of the vehicle's approximate market value (the anomaly indicator in Claims Adjudication Guidelines Section 3) should confirm which methodology applies before computing any figure.

5. Loan/Lease Gap Considerations

If the insured has a Loan/Lease Gap Coverage Endorsement (Form END-GAP-01) attached, and the total loss settlement under Section 3 is less than the amount owed on the vehicle's loan or lease, the endorsement pays the difference, subject to the endorsement's own limit. This is a separate benefit from the base Comprehensive or Collision settlement and is computed only after the Section 3 settlement figure is finalized.